NATIONAL COMPANY LAW TRIBUNAL
AMARAVATI BENCH
(Video Conference)

PRESENT: JUSTICE TELAPROLU RAJANI – MEMBER JUDICIAL
ATTENDANCE-CUM-ORDER SHEET OF THE HEARING HELD ON 13.05.2022 AT 10.30 AM

TC/CP. Nos.	CA/IA No.	Section/ Rule	Name of Parties
CA(A) Merger & Amalgamation/5/230/AMR/2022		230	Amara Raja Power Systems Limited (Demerged Comnpany) and Amara Raja Infra Private Limited (Resulting Company)

Counsel for Petitioner(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

Counsel for Respondent(s):

Name of the Counsel(s)	Designation	E-mail & Telephone No.	Signature

ORDER

CA(A) Merger & Amalgamation/5/230/AMR/2022 is allowed, vide separate orders.

Sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

BEFORE THE NATIONAL COMPANY LAW TRIBUNAL, AMARAVATI BENCH, AT HYDERABAD

CA (CAA) No.5 /230/AMR/2022

In the matter of the Companies Act, 2013
AND
In the matter of Section 230 to 232 of the Companies Act, 2013
AND
In the matter of Scheme of Arrangement

BETWEEN:

1. Amara Raja Power Systems Limited,
Registered office at Renigunta, Cuddapah Road,
Karakambadi, Tirupati – 517520.
.... 1st Applicant/Demerged Company

2. Amara Raja Infra Private Limited,
Registered office at Renigunta,
Cuddapah Road, Karakambadi,
Tirupati – 517520.
.... 2nd Applicant/Resulting Company

Order Pronounced on: 13.05.2022

Coram:

Justice Telaprolu Rajani, Member Judicial.

For the Applicant : Mr.R.Ramakrishna Gupta, PCS,

Per: Justice Telaprolu Rajani, Member Judicial.

ORDER

1. The present Company Application filed under Sections 230 to 232 of the Companies Act, 2013 read with the Companies

Sd/-

(Compromises, Arrangements and Amalgamation) Rules, 2016 by the Applicant Company inter alia seeking an order to dispense with convening the meeting of the Equity Shareholders of the 2nd Applicant Company and to direct for a meeting of Equity Shareholders of the 1st Applicant Company and Secured Creditors and Unsecured Creditors of both the Applicant Companies, for consideration of the Scheme of Arrangement ("Scheme" for short) between the Applicant Companies, their respective shareholders and creditors, as envisaged under the Scheme.

2. The Registered Office of the Applicant Companies is situated in the State of Andhra Pradesh and therefore, it is within the jurisdiction of this Tribunal.

3. Brief facts leading to the filing of present case are as follows:

a) M/s.Amara Raja Power Systems Limited, 1st Applicant/Demerged Company was incorporated as a Private Limited Company, on 06.12.1984. The Authorised Share Capital as on 31.12.2021, was Rs.10,00,00,000/-, divided into 1,00,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.9,39,80,150/- divided into 93,98,015 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business of manufactures, producers, assemblers, dealer, importers, exporters, stockists, distributors, agents, suppliers, designers,

fabricators, erectors of uninterrupted power systems, Batteries, Battery chargers, Transformers, Power regulators, Starters, Transfer Switches, Protective Relays, Low Tension and High Tension Switch gears and other energy power conservatives systems and appliances etc.

b) M/s. Amara Raja Infra Private Limited, 2nd Applicant/Resulting Company was incorporated as a Private Limited Company on 29.05.2008. The Authorised Share Capital as on 31.12.2021 was Rs.17,00,00,000/-, divided into 1,70,00,000 equity shares of Rs.10/- each. The issued, subscribed and paid-up equity share capital is Rs.11,83,50,000/- divided into 1,18,35,000 equity shares of Rs.10/- each. The main objects of the Company are to carry on the business as proprietors, developers, builders, managers, operators, hirers and dealers of all kinds of immovable properties including but not limited to that of lands, buildings, factories, offices, sheds, warehouses, workshops, stores, dwellings, housing colonies, shops, farm houses, cinema halls, hotels, shopping malls, guest houses, convention centers, cold stores and to carry on all the incidental and allied activities and business as are usually carried on by proprietors, developers, builders, managers, operators, hirers and dealers, etc.

c) According to the Applicant Companies, the Scheme of Arrangement (Demerger) of Applicant Companies would

facilitate in greater visibility on the performance of the demerged business, operational rationalization, enhance organization efficiency and optimum utilization of various resources and to enable a dedicated management focus, acceleration in growth, greater levels of decentralized empowerment, enhance competitiveness, increase accountability and strengthen performance culture of the Demerged undertaking and benefit the stakeholders of the Applicant Companies.

d) The Board of Directors of the Applicant Companies, in their respective Board Meetings held on 19.02.2022 and 18.02.2022 and have approved the Scheme of Amalgamation with appointed date as 01.04.2022, subject to the approval of their shareholders and creditors.

4. No investigation or proceedings have been instituted or are pending in relation to both the Applicant Companies.

5. The 1st Applicant Company has filed certificate of the Auditor stating that as on 21.03.2022, there are Nineteen (19) Equity Shareholders, together holding 93,98,015 equity shares.

6. The 1st Applicant Company has filed certificate of the Auditor stating that as on 31.12.2021, there are Five (5) Secured Creditors, having a debt of Rs.60,06,91,891/-.

7. The 1st Applicant Company has filed certificate of the Auditor stating that as on 31.12.2021, there are Four Hundred and Sixty One (461) Unsecured Creditors, having a debt of Rs.102,51,90,657/-.

8. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 18.02.2022, there are Two (2) Equity Shareholders, together holding 1,18,35,000 equity shares.

9. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 31.12.2021, there are Six (6) Secured Creditors, having a debt of Rs.49,96,15,251/-.

10. The 2nd Applicant Company has filed certificate of the Auditor stating that as on 31.12.2021, there are One Thousand Six Hundred and Fifty (1650) Unsecured Creditors, having a debt of Rs.49,13,16,416/-.

11. Heard the submissions made in this regard by the Practicing Company Secretary (PCS) appearing for the Applicant Companies and perused the documents filed.

12. It is noted that all the equity shareholders of the 2nd Applicant Company have given their consent affidavits, agreeing to the proposed Scheme of Amalgamation. Hence the meeting of the Equity Shareholders of the 2nd Applicant Company can be dispensed with, in terms of Section 230(9) of the Act.

13. With regard to the **Equity Shareholders, Secured Creditors and Unsecured Creditors** of the 1st Applicant Company and **Secured Creditors & Unsecured Creditors** of the 2nd Applicant Company this Tribunal passed the following order:-

a) A meeting of the **Equity Shareholders** of the 1st **Applicant Company** shall be held on **30.06.2022 at 11.00 AM,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

b) **Mr.G.Bhupesh, Advocate** (Mobile No. **9966622805**; email: bhupeshimlk@gmail.com) shall be the **Chairperson** of the meeting of the Equity Shareholders and in respect of any adjournment thereof.

c) **Ms.M.V.Padmaja Kalyani, PCS** (Mobile No.**9032694827**; email: padmajakalyani.mv@gmail.com) is appointed as the **Scrutinizer** for the meeting of Equity Shareholders and in respect of any adjournment thereof.

d) A meeting of the **Secured Creditors** of the **1st Applicant Company** shall be held on **30.06.2022 at 12.00 Noon,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of

considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

e) **Ms. Sarvani Desiraju, Advocate** (Mobile No. **9963182052**; email: sarvani@vaktalegal.com) shall be the **Chairperson** of the meeting of the Secured Creditors and in respect of any adjournment thereof.

f) **Ms.Adduri Lakshmi, PCS** (Mobile No.**9885974655**; email: cslakshmi.adduri@gmail.com) is appointed as the **Scrutinizer** for the meeting of Secured Creditors and in respect of any adjournment thereof.

g) A meeting of the **Unsecured Creditors** of the **1st Applicant Company** shall be held on **30.06.2022 at 12.45 P.M,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

h) **Mr. Mannem Srinivas Gowd, Advocate** (Mobile No. **8520979445**; email: mannemsrinivasgowd@yahoo.com) shall be the **Chairperson** of the meeting of the Unsecured Creditors and in respect of any adjournment thereof.

i) **Mr.M.B.Suneel, PCS** (Mobile No.**9985718812;** email: cssunil1427@gmail.com) is appointed as the **Scrutinizer** for

the meeting of Unsecured Creditors and in respect of any adjournment thereof.

j) A meeting of the **Secured Creditors** of the **2nd Applicant Company** shall be held on **30.06.2022 at 3.00 PM,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

k) **Mr. Ravi Kumar V, Advocate** (Mobile No. 9963067404; email: v.ravisharma404@gmail.com) shall be the **Chairperson** of the meeting of the Secured Creditors and in respect of any adjournment thereof.

l) **Ms. Madhavi Latha Lokireddy, PCS** (Mobile No. 9395313600; email: csmadhavilatha@gmail.com) is appointed as the **Scrutinizer** for the meeting of Secured Creditors and in respect of any adjournment thereof.

m) A meeting of the **Unsecured Creditors** of the **2nd Applicant Company** shall be held on **30.06.2022 at 03.45 P.M,** at the registered office of the Company at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520 for the purpose of considering and if, thought fit, approving with or without modification(s) the arrangement embodied in the Scheme.

n) **Ms.Mummaneni Vazra Laxmi, Advocate** (Mobile No. **9848448727**; email: emailtolak@gmail.com) shall be the **Chairperson** of the meeting of the Unsecured Creditors and in respect of any adjournment thereof.

o) **Ms.Devangi, PCS** (Mobile No.**9704630066;** email: kdevangi@gmail.com) is appointed as the **Scrutinizer** for the meeting of Unsecured Creditors and in respect of any adjournment thereof.

p) The remuneration of Chairman is fixed at Rs.1,00,000/- (Rupees One Lakh only) and remuneration of the scrutinizer is fixed at Rs.50,000/- (Rupees Fifty Thousand only) per each meeting.

q) At least one month before the date of the aforesaid meetings, an advertisement about convening of the said meetings, indicating the day, date, place and time, as aforesaid, shall be published in Business Standards (in English) and in Andhra Bhoomi (in Telugu). The publication shall indicate the time within which copies of scheme shall be made available to the concerned persons, free of charge from the registered office of the Applicant Companies. The publication shall also indicate that the statement required to be furnished pursuant to Section 102 of the Act read with Sections 230 to 232 of the Act and the prescribed form of proxy can be obtained free of charge at

the Corporate Office of the Applicant Company or at the office of its PCS i.e., Mr.R.Ramakrishna Gupta, PCS, Office No. T202, Technopolis, 1-10-74/B, Above Ratnadeep Super Market, Chikoti Gardens, Begumpet, Hyderabad – 500016, in accordance with second proviso to sub-section (3) of Section 230 and Rule 7 of the Companies (CAA) Rules, 2016.

r) The Chairman/Chairperson appointed for the aforesaid meetings shall issue the advertisements and send out the notices of the meeting referred to above. The Chairman is free to avail the services of the Applicant Companies or any agency for carrying out the aforesaid directions. The Chairman shall have all the powers under the Articles of Association of both the Applicant Companies and also under the Rules in relation to the conduct of the meeting, including for deciding any procedural questions that may arise at the meeting or adjournment(s) to the aforesaid scheme or resolution, if any, proposed at the aforesaid meeting by any person(s) and to ascertain the decision of the sense of the meeting by ballot/polling paper at the venue of the meeting.

s) Unsecured creditors of the 1st Applicant Company having claims of Rs.1,00,000/- and below are mainly trade creditors representing 244 of the total unsecured Creditors in number and only 0.69% of the total value of unsecured creditors. As such issuance of individual notice of the Scheme to them will

be a futile exercise and disproportionate to the time, labour and cost involved and hence the service of individual notices to Unsecured Creditors who have claims of value of Rs.1,00,000/- and below are dispensed with.

t) Unsecured creditors of the 2nd Applicant Company having claims of Rs.1,00,000/- and below are mainly trade creditors representing 1091 of the total unsecured Creditors in number and only 6% of the total value of unsecured creditors. As such issuance of individual notice of the Scheme to them will be a futile exercise and disproportionate to the time, labour and cost involved and hence the service of individual notices to Unsecured Creditors who have claims of value of Rs.1,00,000/- and below are dispensed with

u) The quorum for the meeting shall be as per Provisions of Section 103 of the Companies Act, 2013. The Quorum for the meetings of Unsecured Creditors shall be 15 (Fifteen).

v) Voting by proxy/authorised representatives is permitted provided that the proxy in the prescribed form/authorisation duly signed by the person entitled to attend and vote at the aforesaid meeting is filed with the Applicant Companies at the Registered office at Renigunta, Cuddapah Road, Karakambadi, Tirupati – 517520, not later than 48 hours before the meetings

vide Rule 10 of the Companies (CAA) Rules, 2016 read with Section 105 of the Act.

w) The Chairman to file an Affidavit not less than 7 (seven) days before the date fixed for the holding of the meetings and to report to this Tribunal that the directions regarding issuance of notices and advertisement of the meeting have been duly complied with as per Rule 12 of the Companies (CAA) Rules, 2016.

x) It is further ordered that the Chairman shall report to this Tribunal on the result of the meeting in Form No. CAA-4, duly verified by his affidavit, as per Rule 14 of the Companies (CAA) Rules, 2016 within seven working days.

y) In compliance of sub section(5) of Section 230 of the Act and Rule 8 of the Companies (CAA) Rules, 2016, all the applicant companies shall send notice under sub section (3) of Section 230 read with Rule 6 of the Rules with a copy of the scheme of Arrangement, the explanatory statement and the disclosures mentioned in Rule 6 to (a) the Central Government through the Regional Director, South Eastern region; (b) the Registrar of Companies, Andhra Pradesh (c) the Income Tax Authorities and (d) the Official Liquidator. The said notices be sent either by Registered Post or by Speed Post or by Hand Delivery at the Offices of the authorities as required by sub rule (2) of

Rule 8 of the Rules. The aforesaid authorities, who desire to make any representation under sub section (5) of section 230 shall send the same to this Tribunal within a period of 30 (thirty) days from the date of receipt of such notice, failing which it shall be deemed that they have no representation to make on the proposed Scheme.

14. With the above directions, the Company Application i.e. CA(A) Merger & Amalgamation No. 5/230/AMR/2022 is disposed of.

sd/-

JUSTICE TELAPROLU RAJANI
MEMBER JUDICIAL

Swamy Naidu